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ECONOMICS

Paper 1 Multiple Choice (Core)

9708/13

October/November 2014

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq

Solved with reasons

This document consists of **12** printed pages.

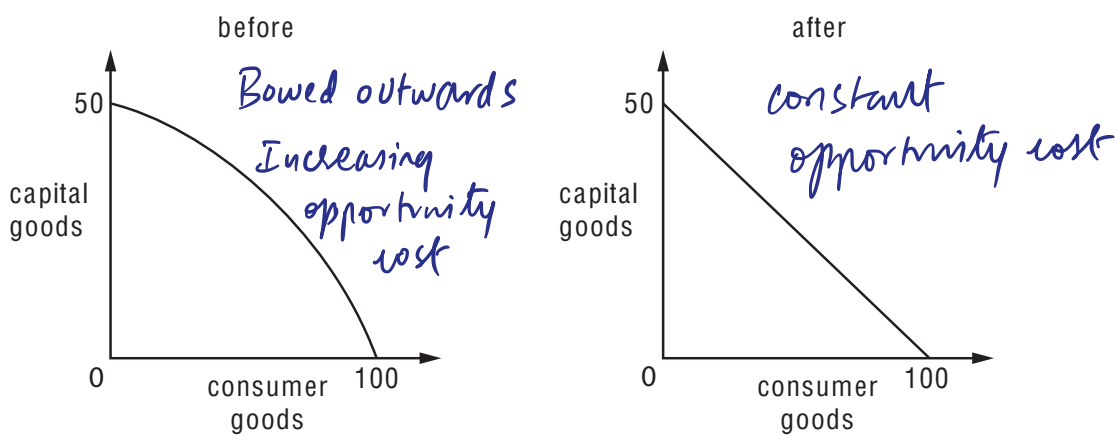
2

- 1 Under normal circumstances, taking a breath of fresh air involves no opportunity cost.

This shows that fresh air is

- ☒ **A** a free good. A free good is a good that is not scarce, and therefore is available without limit. A free good is available in as great a quantity as desired with zero opportunity cost to society.
- B** a merit good.
- C** a public good.
- D** an economic good.

- 2 The diagrams show an economy's production possibility curve before and after a change has occurred.



What would this change indicate about opportunity cost and the production possibility curve?

	opportunity cost	production possibility curve
A	switched from <u>constant</u> to <u>increasing</u>	involved some increase
B	switched from <u>decreasing</u> to <u>constant</u>	involved some decrease
C	switched from <u>decreasing</u> to <u>increasing</u>	involved some increase
☒ D	switched from <u>increasing</u> to <u>constant</u>	involved some decrease

- 3 Which statement about factors of production is correct?

- A** All economic output requires the use of four factors of production. *Depends*
- B** Capital may take the form of shares in a manufacturing company. *in terms of machines*
- C** Enterprise can only be found in owner-run organisations. *Any organization*
- ☒ **D** Land includes both renewable and non-renewable resources. *yes!*

3

$$\begin{array}{l} 1 \text{ Wheat} : 1.5 \text{ Barley} \\ 2 \text{ price} : \frac{1 \text{ price}}{2} \quad \frac{1.5}{1.5} \end{array}$$

- 4 A farmer can produce both wheat and barley at constant costs of production. The opportunity cost of a kilo of wheat is 1.5 kilos of barley. The price of a kilo of wheat is twice that of barley.

What should the farmer do to maximise revenue?

- A Concentrate on barley production.
~~B~~ Concentrate on wheat production.
 C Produce wheat and barley in the ratio 2 : 1.
 D Produce wheat and barley in the ratio 3 : 2.

$$\begin{array}{l} TR = \text{Price} \times \text{Qty} \\ TR = 2 \times 1 = 2 \text{ (wheat)} \\ TR = 1 \times 1.5 = 1.5 \text{ (Barley)} \end{array}$$

- 5 The table shows the price and quantity demanded of a successful film DVD in the first four weeks after its release.

week	price of DVD (\$)	quantity demanded per week
1	16	3000
2	↓ 14	5000 ↑
3	↓ 12	6500 ↑
4	↓ 10	7800 ↑

$$\% \Delta \text{ in } QD :- 160\%$$

$$\frac{7800 - 3000}{3000} \times 100$$

$$\% \Delta \text{ in price} :- 37.5\%$$

$$\frac{10 - 16}{16} \times 100$$

Apply PED formula

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

$$PED :- \frac{160}{37.5} \Rightarrow -4.3 \text{ Elastic}$$

What can be concluded from the table?

- A Sales do not reflect price changes.
 B Sales increase less than proportionally to changes in price.
~~C~~ Sales increase more than proportionally to changes in price. Elastic
 D Sales reflect proportionately the changes in price.

- 6 The price of good X rises by 20%. As a result, the demand for a substitute good Y changes by 10%.

$$XED :- \frac{+10\%}{+20\%} \Rightarrow +0.5$$

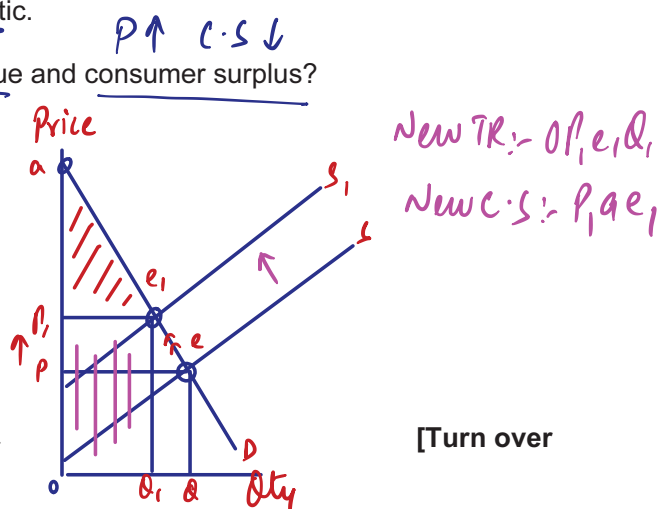
What is the cross elasticity of demand for good Y with respect to the price of good X?

- A -2 B -0.5 ~~C~~ +0.5 D +2

- 7 The price elasticity of demand for a product is inelastic.

How will a decrease in supply affect producer revenue and consumer surplus?

	producer revenue	consumer surplus
A	fall	fall ✓
B	fall	rise
C	rise ✓	fall ✓
D	rise ✓	rise



4

- 8 Two goods, X and Y, are complementary goods. Column 1 of the table below shows the original market situation at time period 1 and column 2 shows the situation following an increase in the price of good Y.

	1	2
price of good X	10	10
quantity demanded	50	40
price of good Y	20	30
quantity demanded	80	60

$$\Rightarrow \frac{-20}{50} \Rightarrow -0.4$$

$$\Rightarrow \frac{+10}{20} \Rightarrow +0.5$$

The value of cross elasticity of demand for good X with respect to the price of good Y lies between

☒ A -1.7 and -2.6.

☒ B -0.8 and -1.3.

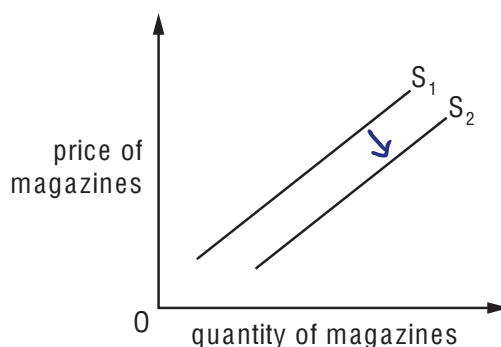
☒ C -0.3 and -0.8. $[-0.4]$

☒ D +0.3 and +0.6.

$$XED := \frac{\% \Delta \text{in } QD_x}{\% \Delta \text{in Price}_y}$$

$$\frac{\text{new-old}}{\text{old}} \times 100$$

- 9 A firm publishes and sells magazines. The diagram shows a shift in the firm's supply curve from S_1 to S_2 .



What would have caused this shift in the firm's supply curve?

A a fall in the subsidies paid to magazine publishers *Supply ↓*

☒ B a fall in the price of paper *cost ↓, Supply ↑*

C a rise in the real income of customers *Demand ↑*

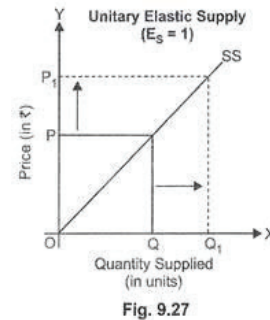
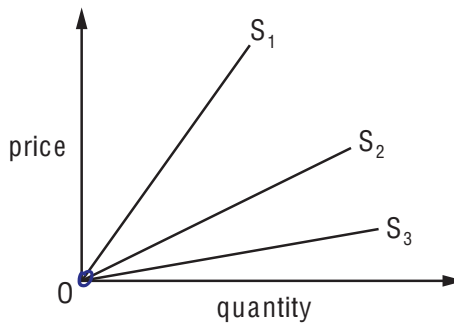
D a rise in the wages of the firm's workers *cost ↑, Supply ↓*

* Percentage change in quantity supplied is equal to percentage change in price.

5

10 The diagram shows three supply curves.

* Supply curve starting from origin, $PES = 1$
Unitary supply



What can be concluded about the price elasticity of supply of the curves?

- A As price rises, the price elasticity of supply of S_2 will increase.
- B At any price, the price elasticity of supply of S_1 will be less than that of S_3 .
- C At any price, the price elasticity of supply of S_2 will be higher than that of S_3 .
- ☒ D The price elasticity of supply of each curve is constant.

11 Demand for shoes increases which pushes up their price. Firm Y increases its supply more quickly than firm Z.

What would explain this difference in the speed of their responses?

- A Firm Y has limited stocks of unsold shoes whereas firm Z has plentiful stocks of unsold shoes. *no (responded quickly)*
- ☒ B Firm Y has spare capacity in its factories whereas firm Z's factories are working at full capacity. *no (Z's responded slowly)*
- C Firm Y's shoes are handmade whereas firm Z's shoes are made by machine. *no (responded quickly)*
- D Firm Y's shoes need raw materials which are in short supply whereas firm Z's shoes need raw materials which are in plentiful supply.

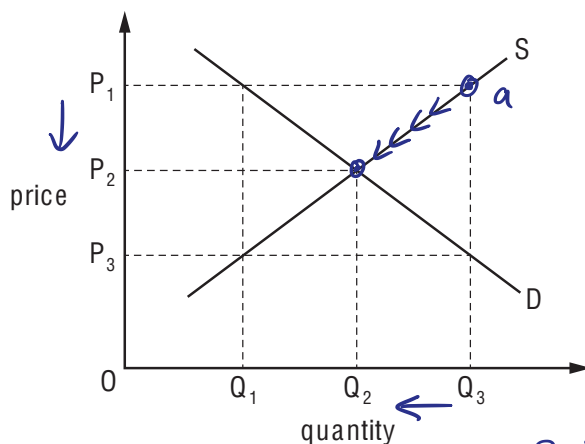
concept comes under price elasticity of supply

Spare capacity ↑, Elastic Supply (Prices ↑, Qty Supplied ↑)

Full capacity, perfectly inelastic Supply (Prices ↑)

- 12 In a free market in disequilibrium, which combination of price and quantity will lead to a fall in price and a contraction in output to reach equilibrium?

$P \downarrow$ $Qty \downarrow$



$Qty \uparrow$
A P_1Q_1

P_1Q_3

$Prices \uparrow$
C P_3Q_1

$Prices \uparrow$
D P_3Q_3

- 13 In which set of circumstances will prices **not** be able to perform their function as an allocative mechanism, but may still have a role as a rationing device?

- ☐ A The government sets maximum prices for all goods above their market clearing price.
- ☐ B The government sets minimum wages for all workers below the market rates of pay.
- ☒ C The quantities of all goods available to consumers are in fixed supply. (concept of shortage will exist)
- ☐ D The total income consumers have available to spend is fixed.

Demand doesn't change → No mechanism

- 14 The table shows, for two different quantities of good X, the total amount consumers are willing to pay and the total external benefits that are generated.

quantity of good X (units)	consumers' willingness to pay (\$)	total external benefits (\$)
3	240	54
4	280	68

SB
 $\frac{294}{348}] 54$

$$SB = PB + EB$$

What is the additional social benefit when 4 units rather than 3 units are produced?

A \$14

B \$40

☒ C \$54

D \$348

$[348 - 294]$

- 15 Which statement about the provision of goods is correct?

☒ A Governments and private producers supply merit goods.

☐ B Governments and private producers supply public goods.

☐ C Governments are unable to supply private goods. They are

☐ D Governments subsidise the production of demerit goods. *Never!*

Only government

As there is price attached to it too!

- 16 A country exports olives. The government is involved in their production because it wishes to ensure that private producers of olives have the confidence to plan investment despite changes in the harvest of olives. $\Rightarrow$ Fluctuations in Supply

Which economic term would describe this situation?

- A a command economy *only government*
 B a constant income elasticity *No sense*
 C an export quota *No restriction*
☒ D a price stabilisation policy *Government intervention on private producers investment*

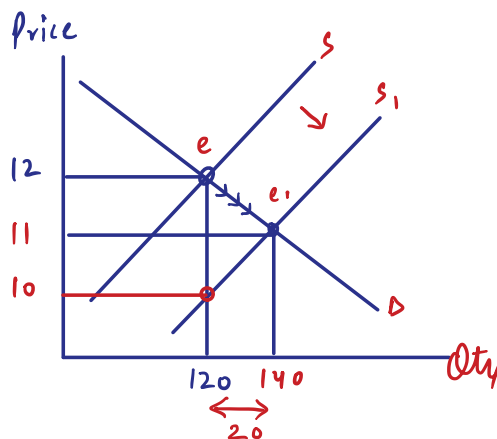
- 17 The table shows demand and supply schedules for a product. The government then subsidises the product because it provides external benefits.

per unit subsidy $\rightarrow$

price (\$)	quantity demanded (units)	quantity supplied before subsidy (units)	quantity supplied after subsidy (units)
<u>10</u>	160	80	<u>120</u>
11	140	100	140
<u>12</u>	<u>120</u>	<u>120</u>	160
13	100	140	180
14	80	160	200

By how much does the subsidy increase consumption of the product?

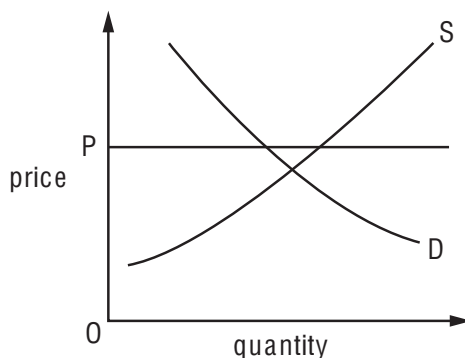
- ☒ A 20 units B 40 units C 120 units D 140 units



$12 - 10 \Rightarrow \$2$
per unit subsidy

8

- 18 The diagram illustrates a market for wheat. The government sets a maximum price of OP.



Ineffective
↓
falls back!

What could cause the maximum price to have an impact on the market?

- A a fall in the price of rice
 - ☒ B an advertising campaign for bread *Demand ↑*
 - C an increased wheat harvest
 - D an increase in subsidies to wheat farmers
→ *comparative advantage in agricultural commodities that is lower opportunity cost*
- 19 Country X exports agricultural commodities to country Y and country Y exports industrial goods to country X.

Given that the pattern of trade between X and Y can be explained by the theory of comparative advantage, what can be concluded from this?

- A Both countries derive an equal benefit from engaging in trade.
no, else trade would have not taken place
 - B Country X has more fertile agricultural land than country Y.
 - C *Someone has always* Neither country has an absolute advantage in the production of both sets of goods.
 - ☒ D The opportunity cost of producing agricultural commodities is greater in Y than in X.
↳ *comparative advantage*
- 20 What is not usually a motive for a country to use protection in international trade?
- ☒ A to increase global economic welfare → The overall level of financial satisfaction and prosperity experienced by participants in an economic system.
 - B to prevent the dumping of products by another country *Yes!*
 - C to prevent unemployment within the country *Yes!*
 - D to shelter an infant industry within the country *Yes!*
- Reasons for protectionism*

* Less restrictions!
or

* More Qty allowed to import⁹

- 21 A government decides to increase a quota on an imported good.

What is likely to happen?

- A The demand for the good will fall. *It will rise*
 B The good will become more expensive. *No, prices ↓*
 C The government's revenue will decline. *No Tax involved in quota*
 ✓ D There will be more of the good imported.

- 22 A Japanese car manufacturer sets up a factory to produce car parts in Malaysia.

How is this likely to affect Malaysia's trade balance and its income balance in the current account of the balance of payments?

	trade balance	income balance
A	improve	improve
✓ B	improve	worsen
C	worsen	improve
D	worsen	worsen

↓
Exports from Malaysia rise
↓
BOT improves

↓
worsen as wages and incomes will be sent to Japan by the workers!
net incomes is part of current account.

Proportion of income spent on a commodity

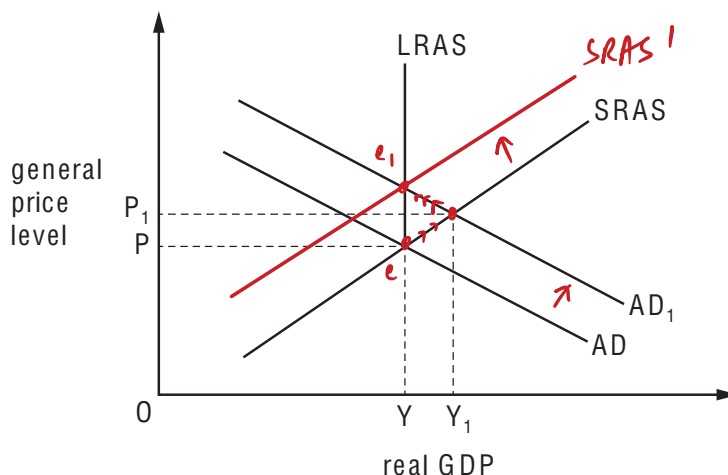
- 23 The weighting given to food in the construction of the United Kingdom's Retail Price Index fell from 16.7% in 1987 to 11.8% in 2011.

What would help to explain this?

- A The average price of food decreased by 4.9% points between 1987 and 2011. *Insufficient data*
 B The demand for food is price inelastic. *Higher proportion*
 ✓ C The income elasticity of the demand for food is less than one. *Income inelastic*
 ↓ D There was an increase in the relative price of food over the period. *proportion would have increased!*

* Income ↑, proportion on food ↓
 * Spending by lesser percentage

- 24 People in an economy become more optimistic about the future. This results in an increase in consumer expenditure which shifts the aggregate demand curve to the right, as shown.



What could cause the economy's output to return to Y?

- A a decrease in indirect taxes *SRAS ↑*
- B a decrease in tariffs on imports *AD ↓*
- C an increase in investment *AD ↑*
- ☒ D an increase in wage rates, *cost ↑, SRAS ↓*
- 25 Which statement about inflation is correct? *"MV = PT, V and T are constant, M ↑ = P ↑"*
- A Cost-push inflation is likely to occur when the government increases its expenditure. *demand pull No!*
- B Demand-pull inflation is likely to occur when the country's exchange rate appreciates. *results in BoT deficit (AD ↓)*
- ☒ C The Quantity Theory of Money predicts that changes in money supply can cause inflation.
- D When inflation is unanticipated real values remain unchanged. *It changes*
- 26 A country experienced an annual inflation rate of 4% for three successive years.

Which statement is correct for the three-year period?

- A The price level rose by 12%.
- ☒ B The price level rose by more than 12%. *Every year it adds up!*
- C The real value of money rose by 12%. *reduces*
- D The real value of money rose by more than 12%. *reduces*

BoT surplus, $X(IR) > m(IE)$, $AD \uparrow$



11

$$AD = C + I + G + \underbrace{(X - m)}_{\uparrow}$$

27 Why might an increase in a current account surplus cause inflation?

- A It will decrease aggregate supply. *Cost push inflation*
 B It will decrease the money supply. *Contractionary monetary policy*
☒ C It will increase aggregate demand. *$(X - m \Rightarrow NX (+ve))$*
 D It will increase the exchange rate. *Results in BoT deficit*

28 Demand for imports is often price inelastic in the short term. Over time, demand tends to become more price elastic.

What does this help to explain?

Short term:- inelastic Long run:- Elastic

- ☒ A why a fall in the exchange rate causes a deficit on the current account of the balance of payments to increase before decreasing *J-curve, Marshall learner condition*
 B why a fall in the exchange rate causes inflation to rise before falling
 C why a rise in the exchange rate causes a surplus on the current account of the balance of payments to decrease before increasing
 D why a rise in the exchange rate causes the terms of trade to worsen before improving

29 The table shows the number of Jamaican dollars which exchanged for one unit of other currencies in time period 1 and time period 2.

	Jamaican \$ time period 1	Jamaican \$ time period 2	<u>Jamaican</u>
<i>Depreciate</i> ← Barbados \$	23.19	23.12	<i>Appreciate</i>
— Guyana \$	0.25	0.25	—
<i>Depreciate</i> US\$	45.78	45.77	<i>Appreciate</i>
<i>Appreciate</i> UK£	63.86	64.37	<i>Depreciate</i>

What might be concluded from the table?

- ☒ A There was a decreased demand for Barbados \$ by Jamaicans. *Yes, Barbados Depreciates*
 B There was a decreased supply of Guyana \$ to Jamaicans. *No change in Exchange rate*
 C There was an increased demand for US\$ by Jamaicans. *No, US \$ Depreciate*
 D There was an increased supply of UK£ to Jamaicans. *No, UK £ Appreciates*

30 An economy has a high rate of inflation and a balance of payments deficit.

Which policy change would help to reduce the balance of payments deficit without making inflation worse?

A a devaluation of the currency *Results in inflation (switching policy)*

☒ B a reduction in government spending $\Rightarrow$

C the imposition of import quotas

D the removal of import tariffs

*Expenditure
Dampening
policy*

*More
imports
BOP deficit ↑*

*Results in
inflation
Switching
policy*

*$G \downarrow \Rightarrow AD \downarrow$
Less incomes
generated
inflation
control
 $C \downarrow$
 $M(TE) \downarrow$
BOP improves*